

Legal Services Outlook 2027

Trends in outsourcing, pricing, and technology adoption at mid-sized law firms

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Executive summary

Mid-sized firms are moving work in three directions at once. They are spending less on outsourced document review, they are adopting flat-fee pricing more widely, and they are using AI drafting tools in daily practice. This report draws on a survey of 212 firms and offers five recommendations for practice leaders.

Outsourced document review spend fell 15 percent, from US\$219,000 per firm in 2025 to US\$186,000 in 2026 (page 3). Flat-fee adoption rose to 38 percent from 31 percent (page 3). AI drafting use rose to 54 percent from 41 percent (page 4).

The recommendations appear on pages 4 and 5. Some name an owner and a date. Others describe an outcome without either, which practice leaders will need to assign.

Survey findings

Spending on outsourced work

Firms reported lower outsourced spending for the second year running. The average spend on outsourced document review fell from US\$219,000 to US\$186,000, a decrease of 15 percent. Firms with more than 150 attorneys reported the smallest decrease, at 6 percent.

Pricing models

Flat-fee adoption reached 38 percent of firms, up from 31 percent a year earlier. Firms cited predictable budgeting as the main reason. Litigation practices adopted flat fees more slowly than transactional practices.

Measure	2025	2026
Outsourced document review spend per firm	US\$219,000	US\$186,000
Firms using flat-fee pricing	31%	38%
Firms using AI drafting tools	41%	54%

Table 1. Key survey measures (page 3)

Technology adoption

AI drafting tools are now used by 54 percent of firms, up from 41 percent. Most firms use them for first drafts of routine documents and require attorney review before anything leaves the firm. Only 22 percent have a written policy on client disclosure.

Recommendations

Recommendation 1: Set a review-spend target

Practice leaders should set a target for outsourced review spend for the coming year. Owner: Managing partner. Due: January 31, 2027.

Supporting data: page 3

Recommendation 2: Pilot flat fees in one practice group

Choose one practice group to pilot flat-fee pricing for routine matters and compare margins after two quarters. Owner: Finance director.

Supporting data: page 3

Recommendation 3: Write an AI drafting policy

Publish a written policy covering permitted uses, attorney review, and client disclosure.

Owner: General counsel. Due: March 31, 2027.

Supporting data: page 4

Recommendation 4: Train staff on approved tools

Run a short training for attorneys and paralegals on the approved drafting tools and their limits.

Supporting data: page 4

Recommendation 5: Review outside counsel guidelines

Update outside counsel guidelines to reflect the new pricing and technology mix. Owner: Practice operations lead. Due: June 30, 2027.

Supporting data: pages 3 and 4

Methodology: online survey of 212 mid-sized firms, fielded October to November 2026.